Much less land is needed to produce one unit of value added in the industrial system compared to agriculture. Even in India, the value added per acre of land is 200 times in the industrial system than the agricultural system. This should have led to freer transfer of land to industry, which made eminent business sense.

Even the communist regime in China that was founded on the hatred of enterprise understood this basic entrepreneurial and business truth. China turned agricultural land into a very cheap industrial asset and equity. As required, land was allowed to be transferred from agriculture to industry and infrastructure at very reasonable (firm and fixed) prices. The profit on conversion of land from agriculture to industry was leveraged multiple times by local bodies and provinces to construct requisite support infrastructure: industrial estates, highways, railways and cities with educational and other facilities. China became the factory of the world in a space of twenty years from 1980 to 2000. It exports goods worth over $2 trillion every year and has built the largest foreign exchange reserves largely on its manufacturing strength developed in the past thirty years.

In India, we took a different route. Land was primarily reserved for agriculture in Industry 1.0. Conversion of agricultural land for industry was frowned upon. This policy continues unchanged in Industry 2.0. As a result, there is very little land available for industrialization, transport and distribution infrastructure and urbanization. Land has not been a factor of production for manufacturing in India but an inhibitor.

This needs to change. We should free up land markets. The default classification of land as agricultural should be given up. There should be no need to get land converted from agricultural to non-agricultural use from the revenue administration. Factories would, of course, be built keeping environmental considerations in mind. This would unleash creative energies in developing the most appropriate kind of estates for manufacturing and services production.